

THE UNIVERSITY OF ZAMBIA

SCHOOL OF HUMANITIES & SOCIAL SCIENCES

DEPARTMENT OF DEVELOPMENT STUDIES
DEV 1150: INTRODUCTION TO DEVELOPMENT STUDIES

LECTURE HANDOUT

TOPIC: *CORRUPTION & DEVELOPMENT*

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1. INTRO

- ☐ How do you call “corruption” in your local language?
 - ☐ How do you call “photosynthesis” in your local language?
 - ☐ You may discover that, it is easier to find a local word for corruption than for photosynthesis right?
 - ☐ Its presence in your local language is indicative of knowledge about it and its influence.
 - ☐ People are impacted (positively or negatively) by corruption and so they know about it and must find a way of calling it in order to communicate whenever they want to engage in it or talk against it.
 - ☐ Everyone has either practised it or has been a victim of it. It is not a new concept.
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- ❑ It is present in almost every country, developed or developing (it is universal) but what differs is the magnitude or rate of prevalence.
- ❑ Its effects are diverse depending on what type of corruption is being talked about.
- ❑ In this lecture, we shall discuss what corruption is, its various types and how it affects development



2. WHAT IS CORRUPTION?

- ❑ Different scholars/organizations have defined corruption differently based on the scope of their investigation
 - ❑ Transparency International have defined corruption as *the abuse of entrusted power for private [personal] gains*.
 - ❑ It is the use of public office for personal aggrandisement
 - ❑ It is the abuse of public office for private gain and it covers a wide range of behaviour from bribery to theft of public funds (World Bank ,2020).
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3. TYPES OF CORRUPTION

Corruption comes in various forms but common ones are as follows;

- ❑ **Grand corruption** this is large scale embezzlement, misdirection or misappropriation of huge public resources (funds) by someone in power/authority for personal gains. It is common among politicians.
 - ❑ **Petty corruption** – this is small scale embezzlement, misdirection or misappropriation of public resources by public officers.
 - ❑ **Bribery** - paying to or receiving money from someone in order to offer them or receive some favour. E.g. paying money to a Human Resource Officer for a job or promotion consideration is bribery. The person giving the money is a briber and the person receiving the money is a bribee.
 - ❑ **Nepotism** – giving favours to someone you are related to (thus abusing the office).
 - ❑ **Tribalism** – favours given to someone's tribal mates
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4. DETERMINANTS OF CORRUPTION

More often, for corruption to take place, the environment under which it must occur must be fertile and conducive for the vice. The following are some of the determinants;

- ☐ A person holding a public office wants to benefit more than others from public resources/finances (greediness/selfishness)
- ☐ Atleast two people, where one is holding office and the other seeking some form of favour or service from the one holding office contrary to the laid down processes or procedures.
- ☐ There must be a two-way communication (including symbolic interactionism e.g. use of signs and gestures) between the parties about the intention to engage in the act and both parties should agree. If one refuses on moral grounds, corruption is unlikely to take place.
- ☐ There must be an administrative loophole in the system to allow the occurrence of the vice. That means, people will engage in corruption and either go unnoticed and/or unpunished.



5. THEORIES OF CORRUPTION

Because corruption is a universal and complex issue, no single theory explains entirely about its existence or occurrence. We however look at a few theoretical underpinnings;

- ❑ **Principal-agent Theory** – Where an *agent* is a public official and *principal* is the agent's superior (e.g. Government/State/Public/parliament etc).
- ✓ The theory argues that, agents serve to protect the interests of the principal but on the contrary, the agent puts their interests first (selfishness)
- ✓ Due to asymmetrical information that exists in this relationship to the advantage of the agent, a so called *agent-problem* is created where an agent engages in corruption to benefit their interests at the expense of the principal (whose interest they were meant to serve)
- ✓ To counteract, the principal creates barriers that prevents the agent from continuing abusing their mandate.



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- ❑ **Collective Action Theory** – the theory argues that when corruption is widespread, it becomes *systemic corruption*, that means
 - ✓ Everyone engages in it, both agent and principal
 - ✓ It becomes a norm, way of getting things done, thus difficult to curtail unless using *collective action* approaches encompassing various stakeholders from top to bottom.



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- ❑ **Institutional Theory** – makes an argument that, some government institutions (particularly the legal framework : laws and policies including those surrounding Anti-Corruption Agencies or the constitution itself) have potential to perpetuate corruption if not properly structured and administered.
- ✓ Any lapse in institutional framework can lead to the persistency of corruption. Such may include immunity given by the Constitution to some political officials, discretionally powers given by politicians to influence the judicial system when it come to adjudicating cases of interest to them.
- ✓ the appointment of some judges in sensitive institutions such as the Constitutional courts or electoral agencies/Electoral Commissions

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- ❑ **Game Theory** – the theory is implied from economics about individual versus group rationality about perceived actions including the one to engage in corruption.
- ✓ If one does not engage in corruption while others are engaging in it, they feel disadvantaged.
- ✓ So a person says, better i embezzle just in case someone else is embezzling out there so that i'm not left behind.

Source: UNODC, *The Doha Declaration: Promoting A Culture of Lawlessness*.

<https://www.unodc.org/e4j/en/anti-corruption/module-4/key-issues/theories-that-explain-corruption.html> ;2021-08-22

6. POSSIBLE CAUSES OF CORRUPTION

The causes of corruption are too numerous to be listed and in many cases are region or country specific; They also range from general e.g. to specific, individual to institutional. The following are some of them;

- ❑ **Selfishness** - an individual's desire to benefit from public resources more than others may compel them to engage in corruption
- ❑ **Poverty** – this is both a cause and effect of corruption. When people are poor and living below average income (with more family responsibilities to take care of as it were in most African countries), they tend to engage in corrupt activities to make ends meet
- ❑ **Low wages** – when employees are paid low wages (which also leads to poverty) , they are likely to engage in corrupt activities to supplement their income



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- ❑ **Weak institutions** - these allow the occurrence and persistence of corruption. There must be lacunae in the social structures to allow corruption to occur. Such may range from a lack of surveillance systems to detect corruption activities to a compromised judicial system to adjudicate corruption matters.
- ❑ **High tariffs (protectionism)** - a number of studies, notably, Saima Sarwar and Muhammad Khalid Pervaiz (2013) suggest that, high tariffs may increase chances of bribes at customs because import duties become too expensive for importers.
- ❑ **Lack of Accountability, Transparency and Consistency** – where these are missing, corruption is likely to take course. When there is accountability, people refrain from tampering with public resources or abusing their mandate. When there is transparency, every activity is being mirrored by other people. When there is consistency, anything inconsistent raises eyebrows. However, a lack of these may precipitate corruption.

7. MEASURING CORRUPTION

Corruption equation

Some scholars have devised a corruption equation in trying to understand how corruption takes place; the equation may not be universal but helps us understand its occurrence;

$$\square \quad C = R + D - A$$

Where

- ☐ **C** = Corruption – the abuse of public office/resources for personal gains
- ☐ **R** = Rent , economic rent – the monetary or non-monetary gains obtained from an activity or possession
- ☐ **D** = Discretionary power – the freedom to interpret and make a decision based on a circumstance presented to you
- ☐ **A** = Accountability – being held answerable for one's actions

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- ❑ The more opportunities are available in a country for the reinforcement of rent-seeking behaviour (R), the more the fertile ground for corruption.
- ❑ The greater the discretionary powers (D) granted to administrators, e.g by politicians' influence on the Judicial system, the greater will be the chances to engage in corruption
- ❑ The more Administrators are held accountable (A) for their actions, the less the chances to engage in corruption, thus, A must be subtracted from the equation.

Source: Klitgaard (1998) cited in U Myint (2000)



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CORRUPTION PERCEPTION INDEX (CPI)

- ❑ Transparency International is an independent global NGO that measures corruption using CPI
 - ❑ It ranks about 180 countries on the level of perceived (perceptions) public sector corruption e.g how people perceive Police officers, judicial personnel etc. and also a number of public sector corruption-related (litigated) cases in that particular country over a period in question.
 - ❑ On the scale of 0 to 100 , Zero indicates high level of corruption while 100 indicates low levels of corruption
 - ❑ Most developed countries score nearly 100 while Least Developed Countries score below 50 on the scale.
 - ❑ This suggest high presence of corruption in developing countries particularly LDCs
 - ❑ However, some developing countries like Botswana, Rwanda and Namibia in Africa have recorded lower levels of corruption over the years suggesting that, it is possible to curb corruption in developing countries particularly in Africa
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8. CORRUPTION AND DEVELOPMENT

Economic costs of corruption

- ☐ Retards development efforts
- ☐ Raises inequality levels in the economy by making the rich richer and the poor poorer
- ☐ Discourages innovation because people that bring innovation are not rewarded
- ☐ Increases poverty levels
- ☐ Discourages the flow of foreign direct investment
- ☐ Reduces foreign aid/official development assistance especially from developed countries to developing countries
- ☐ May affect gains from international trade by distorting trade especially bribes at customs for imports and exports
- ☐ Weakens government revenues leading to budget deficits because huge sums of money end up in private individuals



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Economic gains of corruption ???

A number of arguments have been advanced on the positive side of corruption but most of them egocentric ;

- ☐ Increases speed of some processes by fast-forwarding some procedures through bribes whose net effect is beneficial to the individuals in question but detrimental to the overall economy
- ☐ Anything else you can think of?
- ☐ Generally, at macro level, there are more costs than gains of corruption.



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Remedy to Corruption

- ☐ Leadership /political will to curb the scourge
 - ☐ Change of mindset by refusing to participate in it or reporting its occurrence
 - ☐ Accountability, Transparency and consistency in everything
 - ☐ Strengthening institutions, closing all loopholes for people to engage in corruption, and increasing punishment for corruption offenders including top politicians
 - ☐ Setting up a strong corruption surveillance system in all public places including where possible installation of CCTVs in probable hotspots
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9. CONCLUSION

- ❑ Corruption is the abuse of public office for personal gains
 - ❑ It is present in almost every country but at varying rates
 - ❑ It destructive to development
 - ❑ Most developing countries usually have high levels of corruption partly because of high levels of poverty
 - ❑ To curb corruption in developing countries, there must be political will to do so
 - ❑ There must be also change in mindset towards zero tolerance to the vice.
 - ❑ A corrupt free society is more likely to reduce inequality and increase economic development
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DISCUSSION

1. With the help of a corruption equation, assess the level of corruption in Zambia and suggest possible ways of curbing the scourge.
2. Drawing from the game theoretical analysis of corruption, show how politicians have engaged in corruption in most African countries with focus on Angola, Zambia and Zimbabwe
3. Identify two least corrupt countries in Africa and outline lessons that other countries can emulate on the continent

